

That's true, but when you have only six to eight main positions, and one or two of them don't work out, you're not very happy. Using our current systematic value approach, we can put together long/short portfolios with hundreds of names on the long side and hundreds of names on the short side that can earn 15 to 20 percent per year, which compounds very nicely with much less volatility than a portfolio of six to eight names. If I were starting all over again, I would probably still do it the same way I originally did. But now that I am investing a larger sum of money, I prefer compounding at a good return without assuming the greater volatility that comes with high concentration, even if it means forgoing some extra return. Given this investment preference, the systematic value approach is very appealing. One approach is not better than the other; they are just different. It is an evolution, not a change in process. We have just systematized the same principles we always used to make money. That is what has stayed the same. We are just doing it in a more diversified, methodical way and taking advantage of our team of analysts.

I suppose your current approach can also handle a lot more money.

It can, although that was not the original objective. Our main goal was trying to reduce volatility. People don't fully appreciate the importance of not losing money. Negative compounding is very difficult to overcome. If you lose 50 percent of your money, you have to make 100 percent to recover the loss. If you have more volatile returns, that volatility can result in larger losses that are more difficult to make up. If, however, you have a more diversified long/short portfolio, you have a smoother ride and the opportunity to compound your money very well.

When we started this research, Rob and I didn't know that it would yield an investment strategy that we would want to work on full time. The research showed that our approach worked even better than we expected and that it could be applied effectively to portfolios with hundreds of holdings. These findings led to our launching several long/short funds, as well as several funds with index-like diversification.

Just before you said that you would have gone broke being short the bottom decile and being long the top decile. What are you doing